Outlook

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Does loan pricing reflect risk or merely describe it?

Hi team,

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes.

Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Can you test these explanations rather than choosing one at the start?
- higher spreads align with higher expected risk
- later distress is concentrated in affordability edges rather than price
- channel or product creates unexplained pricing differences

The decision is which pricing rules need review and which differences require conduct testing. Please give us a working Excel file with the exception population and clear columns.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Thanks